

Transfer Pricing Documentation -- Intercompany Services Arrangement

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1. Overview of Intercompany Arrangement

This transfer pricing study documents the arm's length nature of the intercompany services arrangement between American Express Company (US parent) and American Express Services Europe Limited (UK subsidiary). The arrangement covers management services, technology development, and shared services provided by the US parent to the UK subsidiary.

Total intercompany charges for tax year 2023: \$342.8M (management fees: \$127.3M, technology allocation: \$158.9M, shared services: \$56.6M).

2. Functional Analysis

The US parent performs the following functions: strategic management and oversight, technology development and maintenance (including the global card processing platform), human resources administration, financial planning and analysis, and legal/compliance support.

The UK subsidiary performs local market functions including: customer acquisition and retention for the UK/European market, merchant network development, regulatory compliance with FCA requirements, and local marketing campaigns.

3. Economic Analysis -- Comparable Companies

Using the Comparable Profits Method (CPM) as the primary method, we identified 12 comparable companies providing similar management and technology services. The interquartile range of operating margins for comparable companies was 8.2% to 14.7%, with a median of 11.3%.

The tested party (UK subsidiary) reported an operating margin of 10.8% for tax year 2023, which falls within the interquartile range of comparable companies, supporting the arm's length nature of the intercompany charges.

4. OECD Guidelines Compliance

This documentation complies with the OECD Transfer Pricing Guidelines for Multinational Enterprises (2022 edition) and satisfies the requirements of both US Treasury Regulation Section 1.482 and UK transfer pricing rules under Part 4 of TIOPA 2010.

A Master File and Local File have been prepared in accordance with OECD BEPS Action 13 Country-by-Country Reporting requirements.